5 Reasons HUD Deals *Stall*

And What You Can Do About Each One

The HUD/FHA multifamily process has a reputation for being slow — but most of the delays that take a deal beyond the standard timelines are predictable and avoidable. Below we lay out the five most common problems, nearly all of which can be addressed before we submit the application to HUD.

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The HUD/FHA multifamily loan process has a reputation for being slow — but most of the delays that take a deal beyond the standard timelines are predictable and avoidable. The typical 223(f) refinance takes approximately five to six months from application to closing; a 221(d)(4) construction loan generally runs ten to twelve months. HUD's process is longer than conventional lending, which means there's less room to absorb surprises that surface mid-application. Those timelines do have non-compressible components, mainly when the application is in with HUD while they are reviewing the lender's submission. What is avoidable is the additional time that accumulates when deals are submitted prematurely, when third-party reports have deficiencies or need to be reordered, or when issues that were knowable at screening surface during HUD's review. The five items below account for the majority of deal delays that extend beyond the program's standard timelines.

01

THE MOST CONTROLLABLE PROBLEM

Incomplete or *Poorly Assembled* Submission

Under the MAP program, the lender — not the borrower — is responsible for assembling and submitting the full HUD application package. That package includes the underwriting narrative, operating statement analysis, debt service coverage calculation, all required HUD exhibits and certifications, and a complete set of third-party reports: appraisal, market study (if a 221(d)(4)), Phase I ESA, and Physical Capital Needs Assessment (PCNA). When any of these components are not up to HUD's unique requirements or are internally inconsistent with one another, HUD's reviewer will have follow-up questions, and the review clock stops until the lender responds.

Of course this happens if a lender forgets due diligence items, but it also happens when the components of the application do not tell a consistent story. If the rent comparables used by the appraiser do not align with the market data presented in the market study, HUD's reviewer will flag it. If the underwriting narrative describes the borrower's experience in terms that are not supported by the financial statements in the application, that will generate follow-up questions. Each round of follow-up adds time — both the time required to prepare a response and the time the deal spends waiting to be re-reviewed by HUD after the response is submitted. HUD's review staff carry full queues, and a deal that generates multiple rounds of questions will not be prioritized over clean submissions waiting behind it.

> **FROM THE UNDERWRITING DESK**
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> The applications that moved through HUD review most efficiently were the ones where the originator and underwriter team had clearly read the deal carefully, anticipated the questions HUD was likely to ask, and addressed those questions proactively in the submission narrative. Applications that generated long lists of follow-up questions were almost always thin on documentation, internally inconsistent, or submitted before all third-party reports were finalized.

Submitting an incomplete application does not move a deal into HUD's queue faster. The practical effect is the opposite: the back-and-forth required to resolve deficiencies pushes the actual review date out further than if the lender had waited to submit a complete package. Most lenders will tell you they review third-party reports for consistency before submitting — the more useful question is who specifically is doing that review. Brian reviews every application package personally before submission. As a former Senior HUD Underwriter, he reads the appraisal, market study, and PCNA the same way HUD's reviewer will, and he can identify inconsistencies before they become questions that stall the deal.

02

A FREQUENTLY OVERLOOKED ISSUE

Environmental Issues That *Surface During Review*

Every HUD/FHA application requires a Phase I Environmental Site Assessment (ESA) conducted by a qualified environmental professional. The Phase I identifies recognized environmental conditions (RECs) — existing or potential contamination from current or historical uses of the site or adjacent properties. The most common sources of RECs are properties with prior industrial or commercial uses on or adjacent to the site, underground storage tanks (active, abandoned, or previously removed), and dry cleaning operations. When a Phase I identifies RECs, HUD will generally require a Phase II investigation before the underwriting can proceed, which adds time and cost that the borrower should factor into the project timeline from the outset.

What many borrowers and even some lenders overlook is that HUD's environmental review goes significantly beyond the standard Phase I scope. HUD requires a separate HEROS (HUD Environmental Review Online System) review that evaluates a set of environmental and related factors specific to HUD programs. These include radon testing, floodplain determination and compliance, lead-based paint assessment (for properties built before 1978), noise analysis, endangered species habitat review, and coordination with the State Historic Preservation Office (SHPO) for properties that may have historic significance. Each of these items has its own documentation requirement, and some — particularly SHPO coordination and floodplain compliance — can have extended review timelines that are outside the lender's control.

> ⚠ SHPO coordination is required for any project involving new construction, substantial rehabilitation, or major repairs. SHPO review timelines vary by state and are not compressible by the lender. When we identify a project with potential SHPO implications, we flag it as early as possible and start the coordination process before the application is submitted.

Environmental issues cause delays when the lender is not actively tracking each HEROS item as it comes in, coordinating with the borrower and the environmental assessor to resolve open items, and confirming that all requirements are satisfied before the application is submitted. A preliminary review of the property's characteristics — age, prior uses, floodplain mapping, noise risk — should happen during the screening phase so that items requiring extended review timelines are identified early rather than discovered mid-application. An example of this was a 221(d)(4) new construction project where we noticed the site sat close to a railroad line. Being near a railroad is not automatically disqualifying, but it flagged a concern that train noise could push the project's interior noise levels above HUD's maximum decibel thresholds. Knowing this would be an issue at the Concept Meeting, Brian pulled all relevant Federal Railroad Administration data on the railroad and ran it alongside the project's window and wall specifications to determine whether the project would fall within HUD's requirements — before the application was ever submitted.

03

AN UNDERAPPRECIATED TIMELINE RISK

Third-Party Reports *Expire*

When a deal is first signed up, the borrower and originator are often eager to get moving and the third-party reports get ordered immediately. That's usually the right call — but it creates a risk that doesn't get enough attention. All of HUD's required third-party reports have HUD-imposed shelf lives, counted from the date of the site visit to the date the application is submitted to HUD. PCNAs and Phase I/HEROS reports have an initial shelf life of 180 days. Market studies are 120 days. Appraisals have a 180-day shelf life to Firm Commitment issuance — which in practice works out to roughly 120 days from application submission, though there is some wiggle room in how that's interpreted.

The problem occurs when an unrelated delay pushes the submission date past a report's expiration. Say the appraisal is ordered immediately at engagement, starting the clock on the 120-day window to submission. Then the Phase I comes back with a floodplain issue that requires additional documentation before HUD will accept the application. That documentation takes time to compile. Suddenly the lender is looking at a submission date that lands after the appraisal expires. A new appraisal has to be ordered — new site visit, new draft rounds, potentially a different concluded value. In the worst case, the delay cascades: the Phase I and PCNA, which had 180-day shelf lives, are now expiring too.

> **A DEAL WE SAW THIS PLAY OUT**
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> At a prior firm, Brian was assigned as underwriter on a 223(f) after a separate sizing team had already engaged the deal and ordered the appraisal. After reviewing the file, Brian identified occupancy and concession issues that the sizing hadn't flagged — and determined that the best loan amount would require waiting a few months for the Effective Gross Income to improve. But that wait pushed the deal past the appraisal's shelf life. Rather than submit with a lower income figure and a smaller loan, they ordered a new appraisal. The result was a two-month delay and an out-of-pocket cost to the borrower that could have been avoided with proper upfront due diligence. It's why Brian is involved in every deal from the sizing stage forward.

The fix is thorough upfront due diligence before the first report is ordered. If there are characteristics of the deal — environmental conditions, occupancy trends, a complicated title — that suggest the submission timeline could slip, the order of operations for third-party reports should reflect that. A lender who thinks through the sequencing early can avoid a cascading expiration problem that adds months and costs the borrower money.

04

THE VALUATION CONSTRAINT

The Appraisal Comes In *Low or Wrong*

HUD/FHA loan sizing is constrained by several tests: loan-to-value (LTV), loan-to-cost (LTC, applicable for 221(d)(4)), debt service coverage ratio (DSCR), and HUD's Statutory Limit (a per-unit dollar cap that is rarely the binding constraint but applies in all cases). For 223(f) loans, the maximum LTV for market-rate properties is 87% of the appraised value — reduced to 80% if the loan generates cash-out proceeds. For affordable properties the maximum LTV is 90%, again reduced to 80% if cash-out. The LTV constraint is based on the value determined by the appraiser — not the purchase price, the broker's opinion of value, or any other third-party estimate. When the appraised value comes in below what the borrower and lender projected, the loan proceeds are reduced accordingly, and a deal that was structured with a specific equity requirement may require additional capital the borrower had not anticipated.

The more time-intensive version of this problem is an appraisal that HUD's review appraiser challenges on methodology. HUD employs review appraisers who conduct their own independent analysis of the submitted appraisal. When the review appraiser has questions about the comparable selection, the capitalization rate applied, or the income and expense analysis used to develop the Market NOI for the direct capitalization approach, they will have follow-up questions for the MAP lender requiring a response from the appraiser. This back-and-forth can add several weeks to the review timeline, and in cases where the review appraiser ultimately makes value adjustments, the loan sizing may need to be recalculated.

> **NOTE ON THE MARKET NOI**
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> The appraiser's direct capitalization valuation uses a Market NOI that is developed independently from the DSCR NOI used in the loan sizing analysis. The two NOIs are similar but not identical — the appraiser has more flexibility on vacancy rates and certain expense items than the MAP underwriter does under HUD's underwriting rules. A quality originator will review both NOIs during the preliminary analysis to ensure the appraiser is taking advantage of the allowable differences, particularly on vacancy, since even a 1-2% difference in vacancy rate assumption can affect appraised value — and therefore loan proceeds — by a meaningful amount.

Appraisal issues are best anticipated rather than reacted to. Before ordering the appraisal, the originator should develop a preliminary sizing model using realistic local cap rates and actual in-place income rather than pro forma projections, and communicate the expected value range to both the borrower and the appraiser. When the preliminary sizing suggests the deal will be LTV-constrained, the borrower should understand that exposure before the appraisal is ordered rather than after.

05

THE PHYSICAL CONDITION PROBLEM

PCNA Findings That *Require Renegotiation*

Every HUD/FHA 223(f) application requires a Physical Capital Needs Assessment (PCNA) conducted by a HUD-approved inspector. The PCNA is a detailed evaluation of the property's physical condition that serves two purposes in the underwriting: it identifies immediate repair needs that must be addressed as a condition of closing, and it establishes a 20-year capital expenditure schedule that determines the initial and annual deposits to the Replacement Reserve. Both outputs directly affect the sources and uses and, in some cases, the loan sizing.

Immediate repairs identified in the PCNA are handled one of two ways: the borrower completes the repairs prior to closing, or an escrow equal to 120% of the estimated repair cost is established at closing, with funds released upon completion and inspection. When the PCNA identifies a larger-than-expected immediate repair scope — significant roof replacement, HVAC system replacement, life safety upgrades — the borrower must decide how to address it. Completing repairs prior to closing extends the timeline. Funding an escrow requires additional capital and can affect the return analysis the borrower used to underwrite the transaction.

A second source of PCNA-related delay occurs when HUD's technical reviewer disagrees with the inspector's remaining useful life (RUL) estimates. HUD's staff reviewers conduct their own assessment of the PCNA findings and will have follow-up questions when they believe the inspector has been too generous with RUL estimates on major building components. When HUD shortens an RUL, it increases the annual Replacement Reserve deposit, which reduces the property's DSCR and can reduce loan proceeds. This back-and-forth between the lender, the inspector, and HUD's technical reviewer adds time and, in some cases, requires the loan to be re-sized.

A less obvious PCNA issue involves Fair Housing Act (FHA) accessibility compliance. Properties that received a Certificate of Occupancy on or after March 13, 1991 — the effective date of the Fair Housing Act's design and construction requirements — are required to comply with the Act's accessibility standards regardless of what local building code was in effect at the time of construction. Many properties built in the early-to-mid 1990s were constructed to local codes that did not yet reflect the FHA's requirements, and those properties may have accessibility deficiencies that the PCNA inspector identifies as immediate repairs. This issue is particularly common in jurisdictions that were slow to update their local codes after 1991. Whenever Brian and Wim see a building built in this time frame, they often recommend that the borrower commission a quick accessibility study before ordering the full suite of third-party reports — so there are no surprises in the PCNA that require the borrower to revisit the deal economics.

- Walk the property carefully before ordering third-party reports — visible deferred maintenance, particularly on roofs, HVAC, and site improvements, is a reliable indicator of what the PCNA will find
- Use PCNA inspectors with HUD experience in the relevant geography; familiarity with how HUD's regional reviewers interpret common conditions reduces the likelihood of RUL disputes
- Factor potential immediate repair escrow into the equity requirement early rather than treating it as a closing-day surprise

Like most items on this list, PCNA issues are most manageable when identified early. A preliminary property condition review during the screening phase — even an informal walkthrough — allows the originator and borrower to calibrate expectations on repair scope and reserve requirements before the deal is structured.

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HUD/FHA Multifamily Origination

Centennial Mortgage, Inc. is an approved HUD/FHA Multifamily Accelerated Processing (MAP) lender. All loan programs subject to HUD/FHA guidelines, approval, and availability. This white paper is for informational purposes only and does not constitute a commitment to lend or legal or financial advice. Wim Roach & Brian Lorenz are loan originators with Centennial Mortgage, Inc.